

PORTRAIT OF A MILLIONAIRE

Who is the prototypical American millionaire? What would he tell you about himself?*

◆ I am a fifty-seven-year-old male, married with three children. About 70 percent of us earn 80 percent or more of our household's income.

◆ About one in five of us is retired. About two-thirds of us who are working are self-employed. *Interestingly, self-employed people make up less than 20 percent of the workers in America but account for two-thirds of the millionaires.* Also, three out of four of us who are self-employed consider ourselves to be entrepreneurs. Most of the others are self-employed professionals, such as doctors and accountants.

◆ Many of the types of businesses we are in could be classified as dullnormal. We are welding contractors, auctioneers, rice farmers, owners of mobile-home parks, pest controllers, coin and stamp dealers, and paving contractors.

◆ About half of our wives do not work outside the home. The number-one occupation for those wives who do work is teacher.

◆ Our household's total annual realized (taxable) income is \$131,000 (median, or 50th percentile), while our average income is \$247,000. Note that those of us who have incomes in the \$500,000 to \$999,999 category (8 percent) and the \$1 million or more category (5 percent) skew the average upward.

◆ We have an average household net worth of \$3.7 million. Of course, some of our cohorts have accumulated much more. Nearly 6 percent have a net worth of over \$10 million. Again, these people skew our average upward. The typical (median, or 50th percentile) millionaire household has a net worth of \$1.6 million.

◆ On average, our total annual realized income is less than 7 percent of our wealth. In other words, we live on less than 7 percent of our wealth.